Outlook

| | |
|---|---|
| From | lerato.khumalo@cfo.office.keystonebank.co.za |
| To | analytics.retail@keystonebank.co.za, credit.risk.retail@keystonebank.co.za |
| Cc | pricing.customer.value@keystonebank.co.za, treasury@keystonebank.co.za |
| Sent | Thu, 13 Jun 2019 13:08:00 -0000 |

## Which customers reprice first when rates move?

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change. The timing also overlaps with SARB holds repo rate at 6.75%. Treat that as context to test, not an answer.

Could the answer be that fee-sensitive deposit activity changes after repricing? Or are we actually seeing that variable-rate borrowers show stress before fixed-rate borrowers? I also do not want us to miss the possibility that repayment stress is driven more by cash flow than by nominal rate.

The practical decision is where product repricing, customer communication or credit monitoring should be focused. Please send a one-page finding note plus the underlying CSV for our own review; I need the exceptions and counter-examples, not only an average.

Work from monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Regards